

Let us break this down into 5 rules now.

- 1 Identify the pre-established trend. Remember, we are only going to trade with the trend.
- 2 Once the trend is established, wait for the next 4-5 candles to form a range – this range will be evident through small candle bodies with wicks. (You will get a clear idea once we take a look at the chapters.)
- 3 In case of a bullish trend, buy when a candle breaks the high of the range. In case of a bearish trend, sell when a candle breaks the low of the range.
- 4 Keep a minimum target of 1:3 while keeping the stoploss above/below (depending upon the direction of your trade) of the breakout/breakdown candle.
- 5 Do not forget this one! As this is a scalping strategy, we will close the trade in 10 minutes even if the market doesn't hit our target or stoploss.

